

INTEGRATED SUSTAINABILITY REPORT

12. OUR COMMITMENT TO THE UNGC 10 PRINCIPLES

UNGC Principles	Examples of LBF Initiatives Aligned with UNGC Principles	Page
Human Rights (Principles 1 and 2)	- Promoting financial inclusion for marginalised groups - Upholding employee rights and ensuring equal pay across all genders	228 158
Labour Standards (Principles 3, 4, 5, 6)	- Enforcing fair working conditions and employee safety - Providing employee development programmes and training opportunities	152 158
Environment (Principles 7, 8, 9)	- Committing to solar energy projects and energy efficiency - Implementing green building certifications and waste management initiatives	106 115, 107 - 108
Anti-Corruption (Principle 10)	- Launching anti-money laundering and anti-bribery initiatives - Strengthening internal compliance protocols to prevent corruption	541 541

13. ESG INTEGRATION ACROSS DEPARTMENTS AND BRANCHES

At LBF, we are committed to the systematic integration of ESG principles across all functional units and branch networks. This commitment is reflected in our ongoing efforts to embed sustainability into our daily operations and long-term strategies. We encourage the adoption of ESG-focused documentation and practices at every level of the organisation, ensuring that our systems evolve towards greater environmental efficiency through progressive digitisation.

To further strengthen our sustainability efforts, we have customised ESG policies tailored to the unique operational environments of each department and branch. These policies are designed to address specific local and functional needs, ensuring that sustainability principles are effectively applied and continuously refined. This holistic approach ensures that ESG integration becomes a fundamental part of our organisational culture, driving both operational efficiency and environmental responsibility across the entire network.

13.1 Enhancing Energy Efficiency through Infrastructure

To proactively reduce our environmental footprint and enhance operational efficiency, we have implemented a comprehensive suite of energy-saving measures. A key initiative involves the strategic rollout of solar panel installations across designated branches, resulting in energy savings, a reduction in carbon emissions, and lower operational electricity expenses.

Furthermore, in-depth energy audits have been systematically conducted to identify areas for improvement and recommend actionable solutions. These audits have catalysed crucial upgrades, including the transition to highly efficient LED lighting systems, the optimisation of air conditioning performance, and the implementation of automated schedules for lighting and cooling systems.

Complementing these efforts, we are committed to advancing green branch development. This integrated approach encompasses the design and construction of branches utilising environmentally conscious materials, maximising the use of natural daylight, installing water-efficient low-flow fixtures, and employing sustainable landscaping techniques to minimise water consumption and urban heat island effects. These green building initiatives are fundamentally guided by

principles of natural capital preservation, ensuring that our growth aligns seamlessly with our commitment to environmental stewardship. (Refer to our natural capital strategy detailed on page 208).

13.2 Building a Culture of Sustainability

We drive internal sustainability engagement through a robust programme of ongoing employee awareness campaigns, targeted training modules, and skill-enhancing capacity-building workshops. The core aim of these initiatives is to promote and instil sustainable workplace practices, such as optimised energy conservation, proactive waste minimisation, and mindful paper usage. Employees are strongly encouraged to take an active role in our 'Green Office' programmes, lead ESG-focused projects, and engage in sustainability innovation challenges (including the CSR Challenge) that are integral to achieving our long-term ESG goals.

To deeply embed a sustainability mindset within our corporate culture, innovative competitions are frequently organised to stimulate creativity and widespread engagement, especially concerning the resourceful use of recyclable and biodegradable materials. These dynamic events serve as powerful catalysts for innovation while practically and engagingly reinforcing environmental stewardship, thereby enhancing our natural and human capital. (Refer pages 208 to 150).